QUESTION 1

(a) 4 external users:

- Government Agencies – LHDN
- Bank or Financial Institute
- Creditors
- Potential investors
- Existing investors

(b)

Seri Bulan Sdn. Bhd.
Bank Reconciliation Statement
as at 31 May 2014

	RM	RM
Cash balance per bank statement		103,856
Add : Deposits in transit:		
Cheque No 993399	320	
Cheque No 421877	2,000	2,320
		106,176
Less: Outstanding cheques:		
Cheque No 345680	5,700	
Cheque No 345683	1,600	(7,300)
Adjusted cash balance per bank		**98,876**
Cash balance per books		93,764
Add: Cheque Error No 345684 (9,000 - 900)		8,100
		101,864
Less: Bank Charge	100	
Cheque Error No 345688 (1,444 + 1,444)	2,888	(2,988)
Adjusted cash balance per books		**98,876**

(c)

	ASSETS *ASET*	=	**LIABILITY** *LIABILITI*	+	**OWNER'S EQUITY** *EKUITI PEMILIK*				
No	**Asset** *Aset* **(RM)**		**Liability** *Liabiliti* **(RM)**		**Capital** *Modal* **(RM)**		**Revenue** *Hasil* **(RM)**		**Expense** *Belanja* **(RM)**
(i)	No record								
(ii)	Vehicles +50,000 Cash -10,000		Cahaya Pelangi Enterprise +40,000						
(iii)	Bank/Cash -900 Prepaid Salary +900								
(iv)	Furniture +2,500				Capital +2,500				
(v)	Bank -540								Electricity expense -540
(vi)	Cash -200				Drawings -200				

QUESTION 2

(i)

Sales Journal

Date	Accounts Debited	Dr Accounts Receivable Cr Sales
2014 Aug 18	Mukmin Sdn. Bhd.	18,800
31	**Total**	**18,800**

Purchase Journal

Date	Accounts Credited	Dr Purchase Cr Accounts Payable
2014 Aug 5	Teraju Sdn. Bhd.	11,000
22	Sentosa Sdn. Bhd.	15,000
31	**Total**	**26,000**

Cash Receipts Journal

Date	Accounts Credited	Cash Dr	Bank Dr	Sales Discount Dr
2014 Aug 25	Accounts Receivable - Mukmin Sdn. Bhd.		**15,132	*468
28	Accounts Receivable - Indah Enterprise		3,700	
31	Sales	5,000		
31	**Total**	**5,000**	**18,832**	**468**

*468 = 3% x (18,800 – 3,200) **15,132 = (18,800 – 3,200) – 468

Cash Payment Journal

Date	Accounts Debited	Cash Cr	Bank Cr	Purchase Discount Cr
2014 Aug 7	Accounts Payable – Bintang Sdn. Bhd.		13,500	
12	Accounts Payable – Teraju Sdn. Bhd.		**9,900	*100
29	Salary expense	7,300		
30	Utility expense	2,300		

31	**Total**	**9,600**	**23,400**	**100**

*100 = 1% x (11,000 – 1,000)   **9,900 = (18,800 – 3,200) – 100

General Journal

Date	Account title and explanation	Debit	Credit
2014 Aug 8	Dr Accounts Payable – Teraju Sdn. Bhd. Cr Purchase returns and allowances	1,000	 1,000
21	Dr Sales returns and allowances Cr Accounts Receivable - Mukmin Sdn. Bhd.	3,200	 3,200

(ii)

Perniagaan Maju Jaya
Trial Balance
As at 31 August 2014

Accounts	Debit (RM)	Credit (RM)
Cash (10,900 + 5,000 – 9,600)	6,300	
Bank (20,000 + 18,832 – 23,400)	15,432	
Account Payable		15,000
Capital		21,100
Sales (18,800 + 5,000)		23,800
Sales Discount	468	
Sales returns and allowances	3,200	
Purchase	26,000	
Purchase Discount		100
Purchase returns and allowances		1,000
Salary Expense	7,300	
Utility Expense	2,300	
Total	**61,000**	**61,000**

QUESTION 3

(i)

Date	Account title and explanation	Debit	Credit
Aug 31	Dr Depreciation expense - Building (2.5% x 250,000) Cr Accumulated depreciation – Building	6,250	6,250
	Dr Depreciation expense – Vehicles (20% x 88,000) Cr Accumulated depreciation – Vehicles	17,600	17,600
	Dr Bad debt expense Cr Accounts Receivable	1,000	1,000
	Dr Salaries expense Cr Salaries payable	600	600
	Dr Prepaid Insurance (2,400 x 8/12) Cr Insurance expense	1,600	1,600

(ii)

Perniagaan Ayam Segar
Statement of Comprehensive Income
for the year ended 31 August 2014

	RM	RM
Sales		212,500
- Cost of Goods Sold:		
Beginning Inventory	13,400	
Purchase	175,360	
- Purchase Returns	(1,400)	
+ Freight-in	2,870	
Cost of Goods Available for Sale	190,230	
- Ending Inventory	(12,000)	(178,230)
Gross Profit		34,270
- Operating expenses:		
Insurance expense (2,400 – 1,600)	800	
Rent expense	3,000	
Utility expense	18,500	
Salaries expense (6,120 + 600)	6,720	
Depreciation expense – Building	6,250	
Depreciation expense – Vehicles	17,600	
Bad debt expense	1,000	
Total Operation Expense		(53,870)
Net Loss		**19,600**

(iii)

Perniagaan Ayam Segar
Statement of Financial Position
as at 31 August 2014

	RM	RM	RM
NON-CURRENT ASSETS			
Vehicles	88,000		
(-) Accumulated depreciation – Vehicles (17,600 + 17,600)	(35,200)	52,800	
Buildings	250,000		
(-)Accumulated depreciation – Buildings (12,500 + 6,250)	(18,750)	231,250	
Total Non-Current Assets			284,050
CURRENT ASSETS			
Bank		16,550	
Accounts Receivable (19,000 – 1,000)		18,000	
Cash		4,630	
Inventory as at 31 August 2014		12,000	
Prepaid Insurance		1,600	
Total Current Assets			52,780
TOTAL ASSETS			**336,830**
OWNER'S EQUITY			
Beginning capital		150,000	
(-) Net loss		(19,600)	
Ending capital			130,400
NON-CURRENT LIABILITIES			
Long-term loans			175,000
CURRENT LIABILITIES			
Accounts Payable		30,830	
Salaries Payable		600	
Total current liabilities			31,430
TOTAL EQUITY & LIABILITIES			**336,830**

QUESTION 4

(a)

Date	Purchases			Cost of Goods Sold			Balance		
	Unit	Cost/unit (RM)	Total (RM)	Unit	Cost/unit (RM)	Total (RM)	Unit	Cost/unit (RM)	Total (RM)
Sep 1							100	12.00	1,200
3	200	11.80	2,360				300	11.87	3,560
6				220	11.87	2,611.40	80	11.87	948.60
10	160	11.60	1,856				240	11.69	2,804.60
11	140	11.20	1,568				380	11.51	4,372.60
18				200	11.51	2,302	180	11.51	2,070.60
23	175	11.00	1,925				355	11.26	3,995.60
27				100	11.26	1,126	255	11.26	2,869.60
30				50	11.26	563	205	11.26	2,306.60
				Cost of goods sold		6,602.40	Ending inventory cost		2,306.60

(b)

(i)

Date	Account title and explanation	Debit	Credit
2013			
Dec 1	Dr Printer (new)	11,400	
	Accumulated depreciation – Printer $\left(\frac{8{,}900-500}{5} \times 3\right)$	5,040	
	Loss on disposal	2,860	
	Cr Printer (old)		8,900
	Cash (*11,400 – 1,000*)		10,400
	Gain/loss on disposal *= Trade-in allowance – Old printer book value* *= 1,000 – (8,900 – 5,040)* *= -2,860 (loss)*		

** The old printer depreciation expense for this year is not recorded because the annual basis is used*

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(ii) Definition: Assets that have no physical existence / not physically visible

Example: Goodwill, Patent, Copyright, Trademark.

QUESTION 5

(a)

(i)

Date	Account title and explanation	Debit	Credit
2013			
June 30	Dr Interest expense *(500,000 x 6% x 3/12)*	7,500	
	Interest payable *(500,000 x 6% x 3/12)*	7,500	
	Cr Bank		15,000
Dec 31	Dr Interest expense	*20,400	
	Interest payable *[(100,000 – 10,000) x 8% x 3/12]*	1,800	
	Bank loans *(100,000 x 10%)*	10,000	
	Cr Bank		32,200
	Bonds = (500,000 x 6% x 6/12) = 15,000		
	Bank loans = [(100,000 – 10,000) x 8% x 9/12] = 5,400		
	20,400		
2014			
Mar 31	Dr Interest expense	9,100	
	Cr Interest payable		9,100
	Bonds = (500,000 x 6% x 3/12) = 7,500		
	Bank Loans = [(100,000 – [10,000 x 2]) x 8% x 3/12] = 1,600		
	9,100		

(ii)

Alam Mesra Sdn. Bhd.
Statement of Financial Position
as at 31 Mac 2014 (Excerpt)

	RM	RM
<u>NON-CURRENT LIABILITIES</u>		
Bank loans	[a]70,000	
Bonds Payable 6%	500,000	**570,000**
<u>CURRENT LIABILITIES</u>		
Interest Payable	9,100	
Bank Loans	[b]10,000	**19,100**

Original bank loans	=	*100,000*
Less: 10% repaid on 31 December 2012	=	*(10,000)*
10% repaid on 31 December 2013	=	*(10,000)*

10% becomes a current liability because it will be repaid in the current period	=	*(10,000)*[b]
		70,000[a]

(b)

(i)

	RM	RM
Beginning Assets:		
Machine	9,000	
- Accumulated depreciation – Machine (20% x 9,000 x 2)	(3,600)	
Inventory	3,450	
Accounts receivable	2,000	
Bank	1,460	
Total beginning assets		12,310
Less: Beginning liabilities		
Accounts payable	980	
Accrued salary	200	
Total beginning liabilities		(1,180)
Beginning capital		**11,130**

(ii)

Sinar Suria Enterprise
Statement of Comprehensive Income
for the year ended 31 December 2013

	RM	RM	RM
Sales			[a]15,455
- Sales discount			(70)
Net Sales			15,385
- Cost of Goods Sold:			
Beginning Inventory		3,450	
Purchase	[b]8,220		
- Purchase returns	(100)		
- Drawings	(99)	8,021	
- Ending Inventory		(4,450)	
Cost of Goods Sold			(7,021)
Gross profit			8,364
- Operating expenses:			
Salaries expense		[c]3,400	
Rent expense		[d]950	
General expense		200	
Bad debt expense		125	
Depreciation expense – Machine (9,000 x 20%)		1,800	(6,475)
Net profit			**1,889**

Workings:

Accounts Receivable

Balance b/d	*2,000*	*Cash*	*10,000*
Sales	*11,955*	*Sales discount*	*70*

	Bad debt expense	*125*
	Balance c/d	*3,760*
13,955		*13,955*

[a] *Total sales = RM11,955 + RM3,500 = RM15,455*

Accounts Payable

Cash	*6,770*	*Balance b/d*	*980*
Purchase returns	*100*	*Purchase*	*7,220*
Balance c/d	*1,330*		
	8,200		*8,200*

(b) *Total purchase = RM7,220 + RM1,000 = RM8,220*

Accrued Salary

Cash	*3,600*	*Balance b/d*	*200*
Balance c/d	*-*	*Salaries expense*	(c) *3,400*
	3,600		*3,600*

Prepaid Rent

Balance b/d	*-*	*Rent expense*	(d) *950*
Cash	*1,200*	*Balance c/d*	*250*
	1,200		*1,200*